Response to Referee R2

We thank the editor and referees for their continued engagement with our paper. Below we provide a brief summary of the main changes in this revision and then respond to each comment in turn.

- **Stock-return analysis.** Following R2's suggestion, the paper now contains a full event-study treatment of the stock market evidence. Table 1 reports raw returns for four portfolios—the value-weighted market, equal-weighted portfolios of firms with and without gold-clause exposure, and the gold-exposure-weighted portfolio—over each of the three key events, along with firm counts. Figures 3–5 plot all four series around each event. Over the Joint Resolution window, gold-exposed firms returned 30.9–31.4% against 25.4% for comparable non-exposed firms and 12.1% for the market. A new Internet Appendix section examines every intermediate legal event of the litigation (the first hearing, the lower-court rulings, and the certiorari grants) in a CAPM cumulative-abnormal-return framework (Table IA.20); apart from the November 1934 window, in which the second certiorari grant coincided with the midterm election and which we discuss separately, none produced significant differential returns.

- **Robustness with the full set of fixed effects.** Following R6's request, new Internet Appendix Table IA.19 re-estimates columns 2–10 of Table 7 with industry-year fixed effects, so that every characteristic-control specification is also shown with the full fixed-effect structure. The average exposure effect remains negative and significant at the 5% level in all nine specifications and $1933 \times \tilde{d}$ at the 5% level in seven of nine (10% in all nine); the $1934 \times \tilde{d}$ point estimates remain stable in magnitude but lose precision in several columns. Section 5.5 now states the underlying power constraint plainly, in addition to the mechanical collinearity that arises when the characteristic-period interactions and industry-year cells are absorbed simultaneously.

- **Limitations of the exposure measure.** Section 5.5 now contains an explicit limitations paragraph acknowledging that, because virtually all corporate bonds of the era carried gold clauses while preferred shares carried none, our exposure measure is necessarily entangled with the composition of a firm's fixed claims, and that our placebo and control strategies mitigate but cannot fully eliminate this concern.

- **Pre-trends and event-time patterns.** Section 5.2 now acknowledges directly that, given the width of the confidence intervals around individual year estimates, the litigation-year coefficients cannot be statistically distinguished from individual pre-treatment estimates such as the 1930 coefficient, and clarifies that the support for the parallel-trends assumption rests on the full pre-treatment pattern.

- **Liberty bond discussion.** We have revised the historical background section to clarify why Liberty Bond prices rose during the Supreme Court arguments in January 1935. Since Liberty Bonds were gold-denominated government obligations, a government loss would have obligated the Treasury to honor gold payments at the then-prevailing price of $35 per ounce—69% above the pre-abrogation level—increasing the real value of the bonds to holders. We have also added the missing *New York Times* citation.

That said, I think there is one larger issue outstanding. The authors reference the portfolio returns (stock market responses) to various legal developments in section 3 (page 10). This analysis is insightful but not well-explained. In my opinion, the return analysis deserves a table and more detail on the data and summary statistics, some of which can be provided in the appendix. A figure might help too. Consider time series of (cumulative) returns for a) the market, b) firms with gold exposure (unweighted), firms with gold exposure (Weighted as indicated in footnote 10) and d) firms without gold exposure. Such a figure with "event lines" (joint resolution, first lawsuits, potentially lower court rulings, start of Supreme Court arguments (poor government showing), Supreme Court decision) would visualize the argument of the authors. I could also see the return analysis in a regression framework. The point here is that illustrate that market clearly responded to relevant events around the abrogation supporting the key identification argument of the authors.

Thank you for this suggestion. We have added a table (Table 1) and three event study figures (Figures 3–5) to the paper. Each figure now plots exactly the four series the referee lists: (a) the CRSP value-weighted market, (b) an equal-weighted portfolio of firms with gold-clause exposure, (c) the gold-exposure-weighted portfolio of footnote 10, and (d) an equal-weighted portfolio of firms without gold-clause exposure. All four series are constructed from CRSP daily returns, with firms classified by the paper's exposure measure d_j. Table 1 reports the raw returns of all four portfolios over each event window, along with the firm counts; Internet Appendix Table IA.20 reports CAPM cumulative abnormal returns—with the portfolio betas and estimation methodology detailed in its notes—for the intermediate litigation events, with the Joint Resolution window included for reference.

Main evidence. The central result is Event 1: the Joint Resolution (May 26–June 6, 1933). Over this nine-day window the market gained 12.1%, while the equal-weighted portfolio of gold-exposed firms gained 30.9% and the exposure-weighted portfolio 31.4%. The four-series comparison the referee requested is informative here because it separates two components of these gains. First, non-exposed firms—which are comparable in size to the exposed firms—also beat the market, returning 25.4%: the reflation rally was strongest among smaller firms, and both equal-weighted portfolios load on that segment relative to the value-weighted market. Second, and central to our identification argument, *gold-exposed firms outperformed observably similar non-exposed firms*: the exposed-minus-non-exposed differential in CAPM cumulative abnormal returns is +3.1 percentage points over nine trading days (+15.8% vs. +12.7%; $t \approx 2.1$ relative to the calm-period variability of the daily differential; Table IA.20). This within-sample comparison nets out the size component and isolates the gold-specific response that the abrogation's debt relief predicts. Event 3 produces a differential in the right direction but of modest size, while the three-day oral-arguments window is essentially flat (we return to it below), and the main identification evidence rests on Event 1, corroborated by the formal regression analysis in Section 5.

On the oral arguments event. The three-day window (−1.3% market, −1.4% gold-weighted) understates the full impact visible in Figure 4. Over the six trading days following the arguments (January 11–17), the gold-weighted portfolio declined a further 4.6% against a market decline of 3.0%, as news of the government's poor showing filtered through press coverage. By January 13, the *New York Times* reported Liberty Bond prices at their highest level since 1917 (NYT, 1935), reflecting investor expectations that the government would lose the case. From January 8 through January 17, the cumulative decline was 6.0% for the gold-weighted portfolio and 4.3% for the market. Section 3 now makes this point directly, so that the reader sees why the three-day window alone understates the market response to the arguments.

Full-period figure with event lines. We also constructed the single full-period cumulative-return series with event lines that the referee describes. Over a two-year window dominated by the 1933 reflation rally, however, the cumulative scale compresses the event-window movements that carry the identification, and the figure largely duplicates the information in Figures 3–5. We therefore present the event-line evidence at the event level—Figures 3–5 plot all four series around each key event—and examine the remaining litigation events in Internet Appendix Section IA.1.

First lawsuits and lower court rulings. The referee's parenthetical asks about the first lawsuits and lower court rulings, and we now examine every intermediate legal step of the litigation directly. New Internet Appendix Section IA.1 (Table IA.20) applies the same portfolios and CAR methodology to: the first court hearing on the enforceability of gold clauses (May 22–24, 1933); the first federal ruling upholding the Joint Resolution's constitutionality (*In re Missouri Pacific R. Co.*, E.D. Mo., June 20, 1934); the New York Court of Appeals' affirmance of *Norman v. Baltimore & Ohio R. Co.* (July 3, 1934); and the Supreme Court's certiorari grants (October 8 and November 5, 1934). Apart from the November grant—which coincided with the midterm election and is discussed separately below—none of these judicial events produced a significant differential response between gold-exposed and non-exposed firms (differentials of +0.7, −0.9, +0.4, and +0.6 percentage points for the first hearing, the two lower-court rulings, and the October grant, respectively, all with $|t| \leq 1$). We interpret these null results as evidence that the procedural steps were largely anticipated: every court to consider the question in 1933–34 upheld the Joint Resolution, so these rulings confirmed the status quo rather than conveying news. The differential responses appear precisely at the events that carried genuine constitutional and political news—the Joint Resolution and the Supreme Court endgame—which we view as reinforcing the paper's event selection. A footnote in Section 3 now points readers to this analysis.

The November 1934 window. The one intermediate window with a significant differential is November 5–8, 1934 (+3.1 percentage points, $t \approx 3.6$), and we discuss it in Section IA.1 (Figure IA.2) rather than in the main text for a specific reason: it confounds two events. Certiorari in *United States v. Bankers Trust Co.* was granted on Monday, November 5; the midterm election was held on Tuesday, November 6, with the New York Stock Exchange closed; and trading on the election result—a Democratic landslide widely read as a popular ratification of the New Deal, plausibly raising the perceived durability of the abrogation—began on Wednesday, November 7. The differential opens over the window's three trading days (November 5, 7, and 8) and does not subsequently revert. Because the certiorari grant and the election cannot be separated within the window, and because we identified this window in the course of the analysis rather than ex ante, we present it as corroborating evidence—a second, politically driven shock to the abrogation's expected fate moving gold-exposed firms differentially—rather than as a main event.

On the regression framework. The regression-based identification evidence is developed formally in

Section 5. At the event level, the differential CARs in Table IA.20—each scaled by its calm-period standard error—provide the regression-style complement the referee suggests: they test, event by event, whether gold-exposed firms responded differently from non-exposed firms.

One small point on last sentence page 12/top page 13. I don't think that the Liberty bond prices reflect a flight to safety. Indeed, Liberty bonds were very much part of debate since they were to be paid in gold and in the end were not due to the US leaving the gold standard (which is why some argue that this constitutes sovereign default). If anything, the high prices of Liberty bonds indicated that observations thought it likely that the government could lose the case. Either the authors provide a better explanation for the Liberty bond behavior, which is currently stated without the appropriate context or they delete the sentence. Also, the citation to the NYTimes article is missing.

Thank you for this comment. We have revised the passage to provide the appropriate context for the Liberty Bond price increase. Liberty Bonds were themselves gold-denominated government obligations, promising payment in gold at par. A government loss in the gold clause cases would have obligated the Treasury to honor that promise at the then-prevailing price of $35 per ounce—69% above the pre-abrogation level—increasing the real value of the bonds to holders. Their rising prices in January 1935 therefore reflected investor expectations that the government could lose the case. The historical background section now reads:

> "During the three days of oral arguments (January 8–10), the market reacted little: it fell 1.3%, and our gold-exposure-weighted portfolio declined 1.4%. News of the government's poor showing reached the public only gradually—many newspapers reported on the argument sessions on January 11 and 12 (Edwards, 2018)—and it is as the news spread that a differential appears: between January 11 and January 17, the market fell a further 3.0% while the gold-exposure-weighted portfolio declined 4.6%. By January 13, the *New York Times* reported that, amid 'the speculative fever for gold,' Liberty Bond prices had reached their highest level since 1917 (NYT, 1935). Since Liberty Bonds were themselves gold-denominated government obligations, their rising prices reflected

investor expectations that the government could lose the case and be forced to honor full gold payments."

We have also added the missing citation: *New York Times*, "Gold Issue Hits Highest since 1917," January 13, 1935, p. 2.

REFERENCES

, 1935, Gold issue hits highest since 1917, *New York Times* 2.

Edwards, Sebastian, 2018, *American Default: The Untold Story of FDR, the Supreme Court, and the Battle Over Gold* (Princeton University Press).